

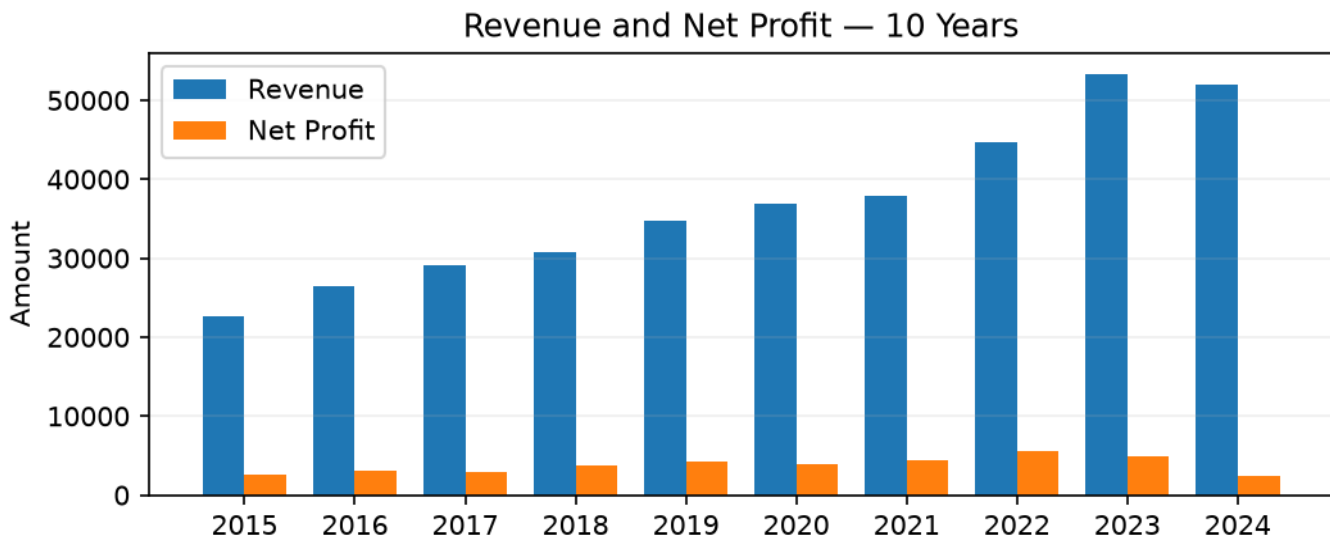
Tech Mahindra Ltd

TECHM

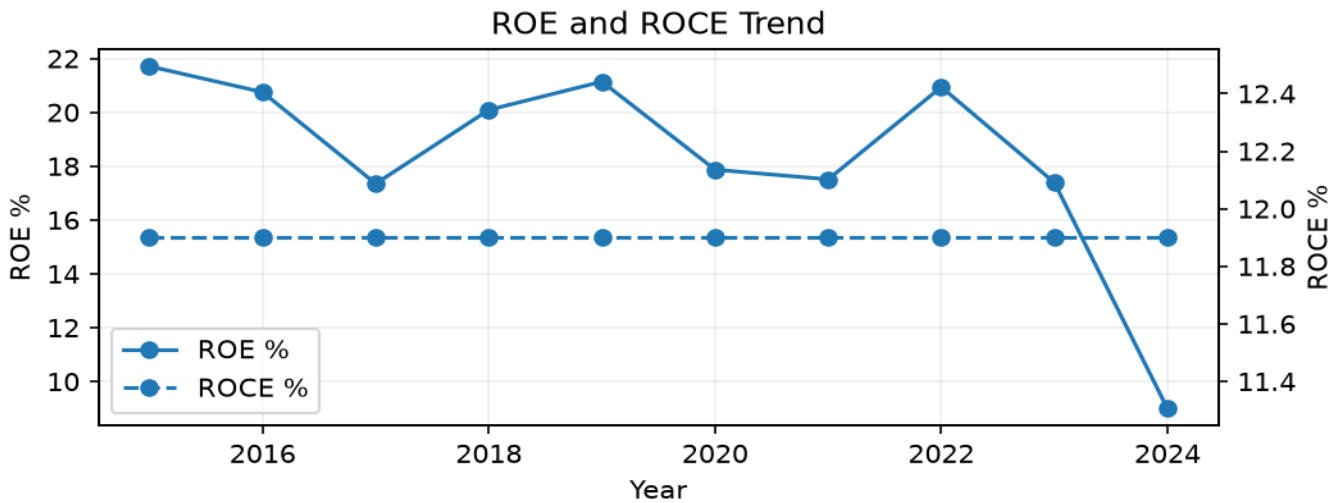
Sector: Information Technology

ROE 8.99%	ROCE 11.90%	Net Profit Margin 4.61%
D/E 0.10	Revenue CAGR 5Y 8.40%	FCF 5,058.00 Cr

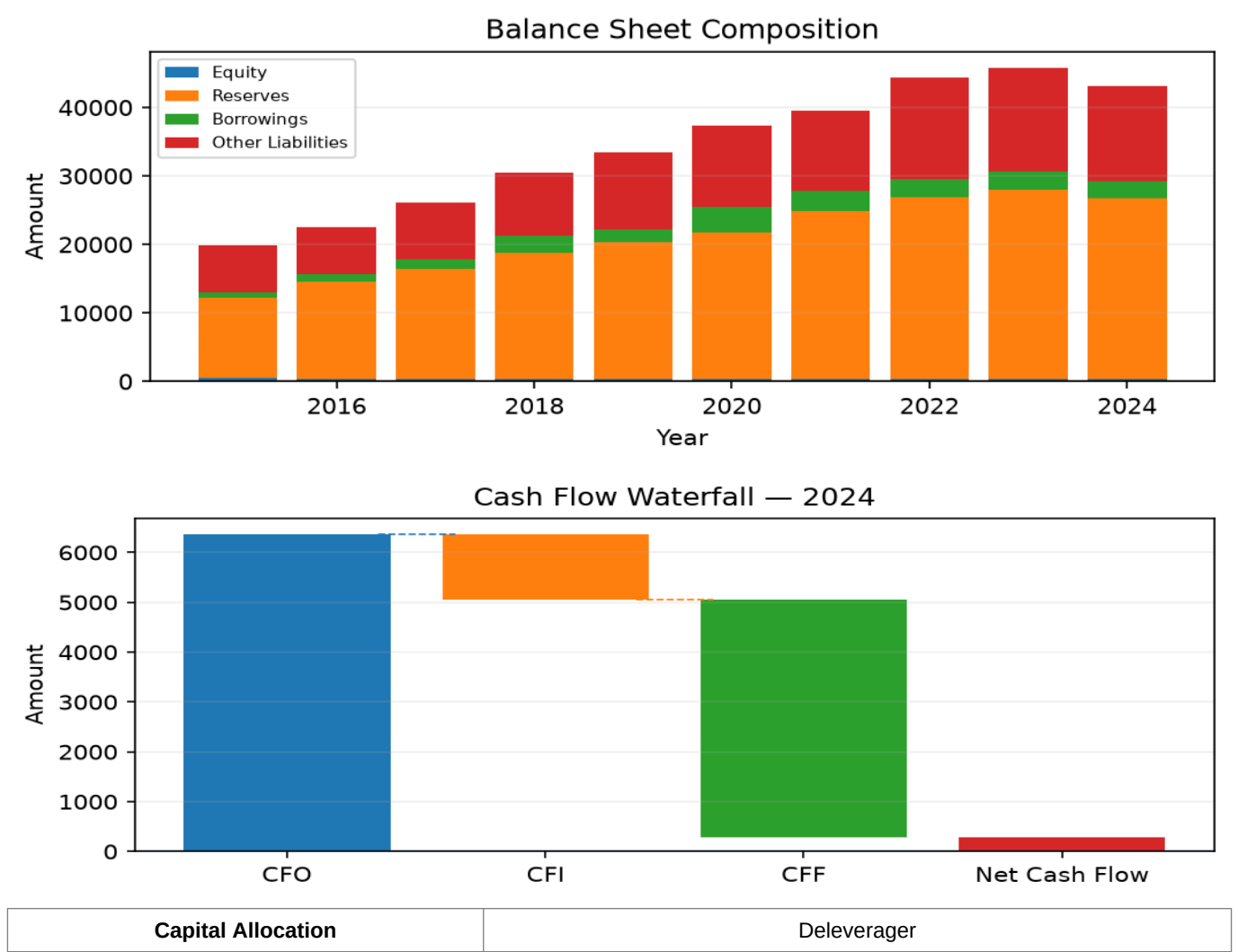
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (confidence 90%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (confidence 75%)

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (confidence 95%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (confidence 85%)
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss (confidence 85%)
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (confidence 85%)